FROM THE

EDITOR-IN-CHIEF

Many associate the exchange value of their currency with national pride. This is a misconception as exchange rates can vary due to factors outside the control of a country, such as the Ukraine war this time. However, they do reflect the strength of a nation's economy at some level, even if largely determined by market forces. A weakening rupee means investors are selling their rupee assets for dollars, and they are doing it for various reasons. A falling rupee means our exports become more competitive in sectors where our import content is low. But our imports become more expensive, and we are an import-dependent country, especially for critical products like oil, fertilisers and edible oils.

Central banks keep an eagle eye on the exchange rate to avoid undue speculation and wild fluctuations. The Reserve Bank of India (RBI) seems to have had a psychological benchmark of 80 for the rupee to the greenback. The concern was that if the rupee crossed that level, it could precipitate a steep downward spiral, resulting in major disruptions to the economy. That danger mark was breached briefly on July 19 before the RBI stepped in to hammer the rate down to Rs 79.95. However, the next day, the rupee slipped again, this time closing at Rs 80.05 to a dollar.



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Union finance minister Nirmala Sitharaman was right to allude, in a written statement to Parliament, to global forces beyond India's control. The Russia-Ukraine war in late February was a major black swan event that sent world fuel, food and fertiliser prices soaring and upended all major markets. Then in May, the US Fed moved into a series of aggressive hikes in its interest rates to cool inflation, prompting a flight of foreign portfolio investments from India. This calendar year has seen FPIs selling a record $30.92 billion worth of Indian assets.

Sitharaman is also correct when she says currencies have been falling like nine pins across the globe. The Turkish lira has lost 22.34 per cent of its value since December 2021, the Japanese yen has fallen by 16.95 per cent, the British pound by 13.66 per cent, the euro by 11.30 per cent, and the Thai baht by 8.75 per cent. The Indian rupee's six per cent fall, by contrast, looks moderate. But if the finance minister sounded defensive, it was because the ruling BJP has in the past been liberal in its broadsides at the UPA regime on this front—especially in 2013, after the rupee depreciated steeply owing to the Taper Tantrum caused by the US Fed slowing down on its bond purchases. Narendra Modi, then Gujarat chief minister, had equated a weak currency with a weak government. Now the boot is on the other foot, with Congress leader Shashi Tharoor remarking snidely, "What has this strong government given us? An even weaker rupee!"

That the Modi government was worried about the falling rupee was evident in the RBI's aggressive measures to shore it up. It has been dipping into India's vast foreign exchange reserves and buying up rupees to stem its fall. Since February, the RBI has spent as much as $50 billion on that and the reserves have dropped from $630 billion to around $580 billion—still considered a comfortable level. However, we should not be deluded by our forex reserves as a large proportion of them represent hot money that can be withdrawn at a whim, as we have seen recently. We need to have forex reserves that our exports earn and which stay here. Politically, the falling rupee is not good news for the ruling dispensation: it is already causing widespread disruption in government finances and business plans and bringing misery to the common man.

As Deputy Editor Shwweta Punj found out while writing this week's cover story, the real worry is what experts call "imported inflation". In fact, Crisil chief economist Dharmakirti Joshi, speaking in our Board of India Today Experts (BITE) section, says it now contributes as much as "60 per cent of WPI inflation, up from an average of 30 per cent in the last five years". Consumer goods made primarily out of imported components—think smartphones, automobiles, air conditioners and other products ubiquitous in our urban markets—are getting costlier. So is foreign travel, and studying abroad, especially in the US. Government finances are under severe pressure, too. India is a net importing nation—its oil import bill doubled to $119.2 billion in 2021-22 from $62.2 billion the year before. Ultimately, the government will have to either pass on the pain to the consumer—risking more public anger—or absorb it and see it radiate to other parts of its balance sheet. Similarly, this year's budget had provided an additional Rs 1.10 lakh crore for its fertiliser subsidy, taking it to Rs 2.15 lakh crore this fiscal. Expect that to balloon further, given the combination of high prices and a falling rupee.

On the industry front, the impact is mixed. Most businesses are worried about rising import bills and higher cost of servicing loans. A Crisil study of over 300 firms showed profitability dropped 200-300 basis points in the June quarter, compared to last year. But for exporters, especially those that can draw on domestic raw materials, it may be time to rejoice. The IT sector, textile manufacturers and auto component-makers—to name a few—have seen an uptick. The experts on our BITE panel—senior economist N.R. Bhanumurthy, ICRA chief economist Aditi Nayar, FIEO DG & CEO Ajay Sahai, who speaks the exporters' point of view, and Joshi—seem keen to qualify the easy assumption that exports will benefit, though. "The conventional view needs empirical verification," says Bhanumurthy.

Many experts believe the RBI should stick to managing volatility and let market forces decide the rupee's right value. Others feel the weakened rupee is symptomatic of India's inefficiencies. D.K. Srivastava, policy advisor for EY India, believes India should work on increasing its productivity and efficiencies. "Currency should have asset value rather than merely exchange value," he says. There is little doubt that Indian industry has to become more competitive and export more. In 2021, the estimated output per worker was worth only $6,413, as compared to China's $16,697. A lot of this depends on business-friendly policies and improved infrastructure. The other side of the coin is to aggressively pursue *aatmanirbharta* to reduce our import dependencies. The falling rupee should be an alarm bell for the government to hasten economic reform.



(Aroon Purie)